

# Management and Marketing

## **BMEGT20MN47**

# Marketingmanagement

## **BMEGT20MN54**



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# Topic 2

## Developing **marketing** strategies and plans

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# Topic 2

## Learning Objectives

1. How does marketing affect customer value?
2. How is strategic planning carried out at the corporate and divisional levels?
3. How is strategic planning carried out at the business unit level?
4. What does a marketing plan include?

Segmentation,  
targeting and  
positioning

CHOOSING THE VALUE

Product, price  
and distribution

PROVIDING THE VALUE

COMMUNICATING THE  
VALUE

**The value  
delivery  
process**

- **A tool for identifying ways to create more customer value**
  - Every firm is a synthesis of activities performed to design, produce, market, deliver, and support its product
  - **Primary activities:** 1. inbound logistics, 2. operations, 3. outbound logistics, 4. marketing, 5. service
  - **Support activities:** 1. procurement, 2. technology development, 3. HR management, 4. firm infrastructure

## The Value chain



*Michael Porter*

Consumer trends

A blue rectangular box containing the text "Consumer trends". A blue arrow originates from the bottom-left corner of this box and points towards the first item in the list below, "Market-sensing process".

- **Market-sensing process**
- **New-offering realization process**
- **Customer acquisition process**
- **Customer relationship management process**
- **Fulfillment management process**

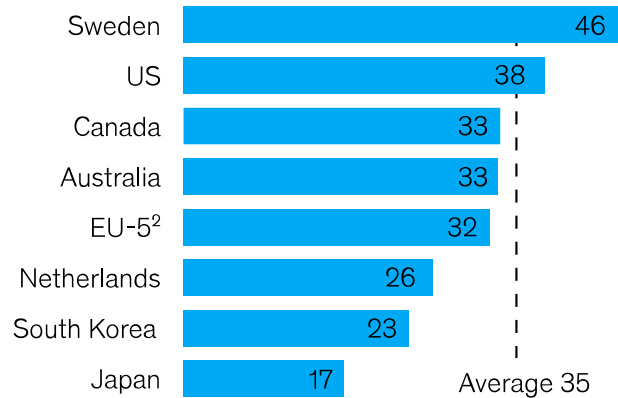
**The core  
business  
processes**

# Younger consumers in emerging markets are nearly two times more optimistic, on average, than those in advanced economies.

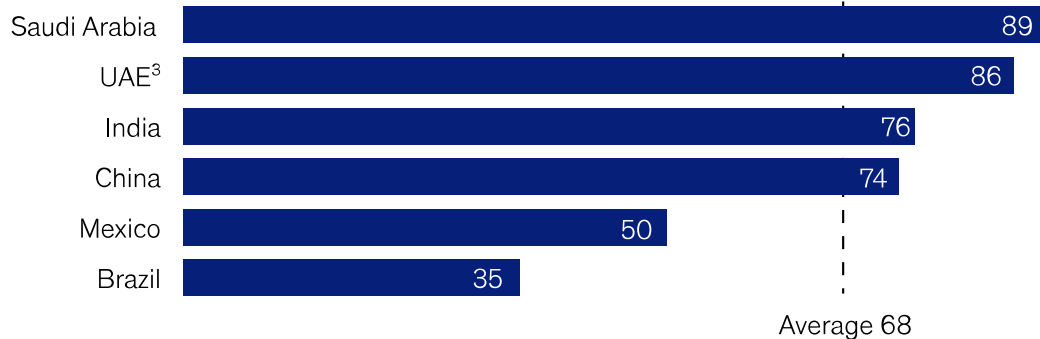
## Consumer confidence, by country, aged 18–24<sup>1</sup>

% who believe the economy will rebound

### Advanced economies



### Emerging markets



<sup>1</sup>Question: Do you think the economy will rebound in 2–3 months, and that the economy will grow at the same rate or faster?

<sup>2</sup>Includes France, Germany, Italy, Spain, and the UK.

<sup>3</sup>United Arab Emirates.

Source: McKinsey ConsumerWise Global Sentiment Data, Jan 2024, n = 4,005

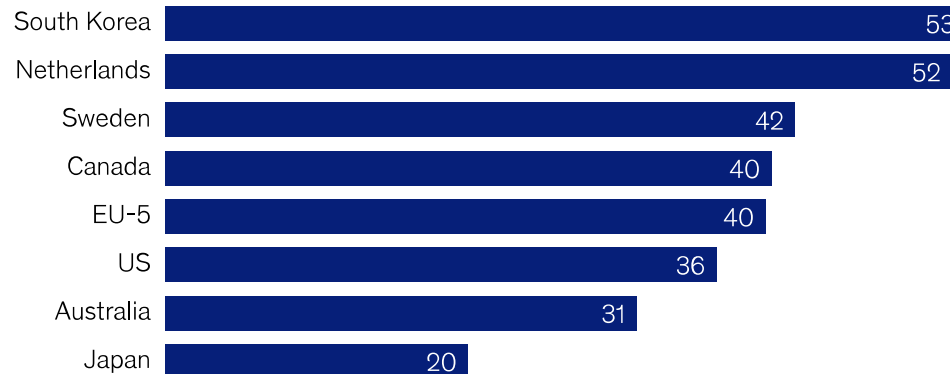
# Shopper loyalty is in flux as consumers look to new brands and retailers for better value.

**Consumer loyalty changes in advanced economies, past 3 months,**  
% of respondents

## **Tried a different brand<sup>1</sup>**



## **Changed retailers for lower price/discount<sup>3</sup>**



<sup>1</sup>Respondents who answered "tried a different brand" when asked: Over the past 3 months, have you done any of the following?

<sup>2</sup>Includes France, Germany, Italy, Spain, and the UK.

<sup>3</sup>Within the past 3 months, have you done any of the following when purchasing a product (asked across multiple categories)? Responses include percent of respondents selecting 1 of the following options: shopped from a lower-priced retailer; shopped from lower-price brand; bought private label; bought a brand for which you had a coupon; used buy now, pay later; delayed a purchase; bought a larger-size pack for a lower price; bought smaller size or quantity; made more shopping trips in search of discounts.

Source: McKinsey ConsumerWise Global Sentiment Data, Q1 2024, n = 15,352



# Characteristics of core competencies

- A source of competitive advantage and makes a significant contribution to perceived customer benefits
- Applications in a wide variety of markets
- Difficult for competitors to imitate



- Managing the businesses as an investment portfolio
- Assessing the market's growth rate and the company's position in that market
- Establishing a strategy

## **The central role of strategic planning**

# The marketing plan

- The central instrument for directing and coordinating the marketing effort

- **Strategic**



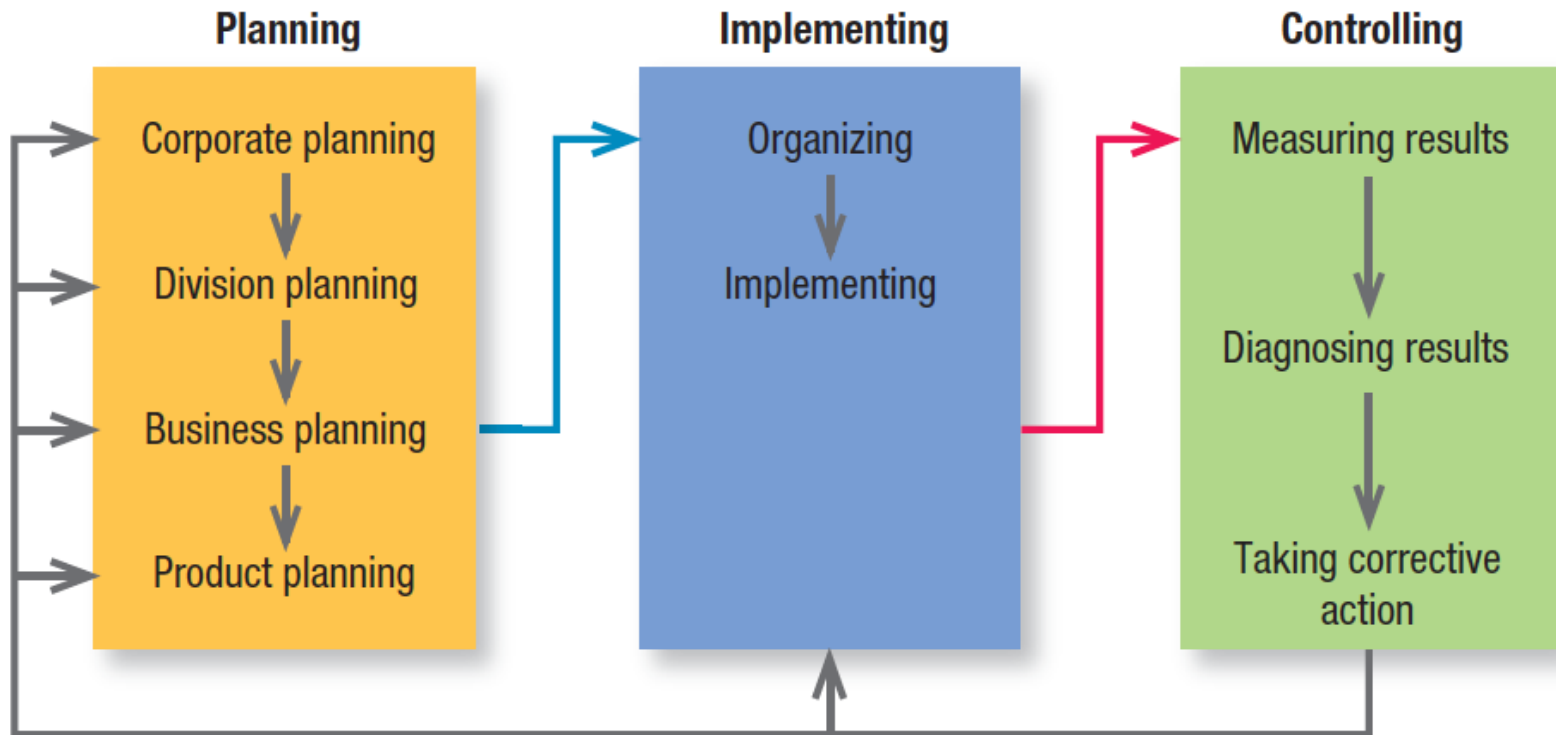
Target markets and  
value proposition

- **Tactical**



4 Ps

# Strategic Planning, Implementation, and Control Processes



Strategy is „the creation of a unique and valuable position involving a different set of activities”. (Porter)

- **Defining the corporate mission**
- Establishing strategic business units
- Assigning resources to each strategic business unit
- Assessing growth opportunities

## Corporate and division strategic planning

A company has a strategy when it „performs different activities from rivals or performs similar activities in different ways.” (Porter)

- **What is our business?**
- **Who is the customer?**
- **What is of value to the customer?**
- **What will our business be?**
- **What should our business be?**

## **The Mission Statement**

**The mission statement should be market oriented!**

## Product-Oriented vs. Market-Orientated Definitions of a Business

| Company                   | Product definition        | Market definition               |
|---------------------------|---------------------------|---------------------------------|
| Missouri-Pacific Railroad | We run a railroad         | We are a people-and-goods mover |
| Xerox                     | We make copying equipment | We improve office productivity  |
| Standard Oil              | We sell gasoline          | We supply energy                |
| Columbia Pictures         | We make movies            | We market entertainment         |



# AVON

## OUR MISSION

*To celebrate women's power to  
make a beautiful and positive  
impact in the world.*



- **Focus on a limited number of goals**
- **Stress the company's major policies and values**
- **Define the major competitive spheres within which the company will operate**
- **Take a long-term view**
- **Are as short, memorable, and meaningful as possible**

# **Good Mission statements**

# Corporate and division strategic planning

- Defining the corporate mission
- **Establishing strategic business units**
- **Assigning resources to each strategic business unit**
- Assessing growth opportunities

## **Establishing Strategic Business Units (SBUs) and assigning resources to each SBU**

### **What is an SBU?**

- A single business or collection of related businesses
- Has its own set of competitors
- Has a leader responsible for strategic planning and profitability

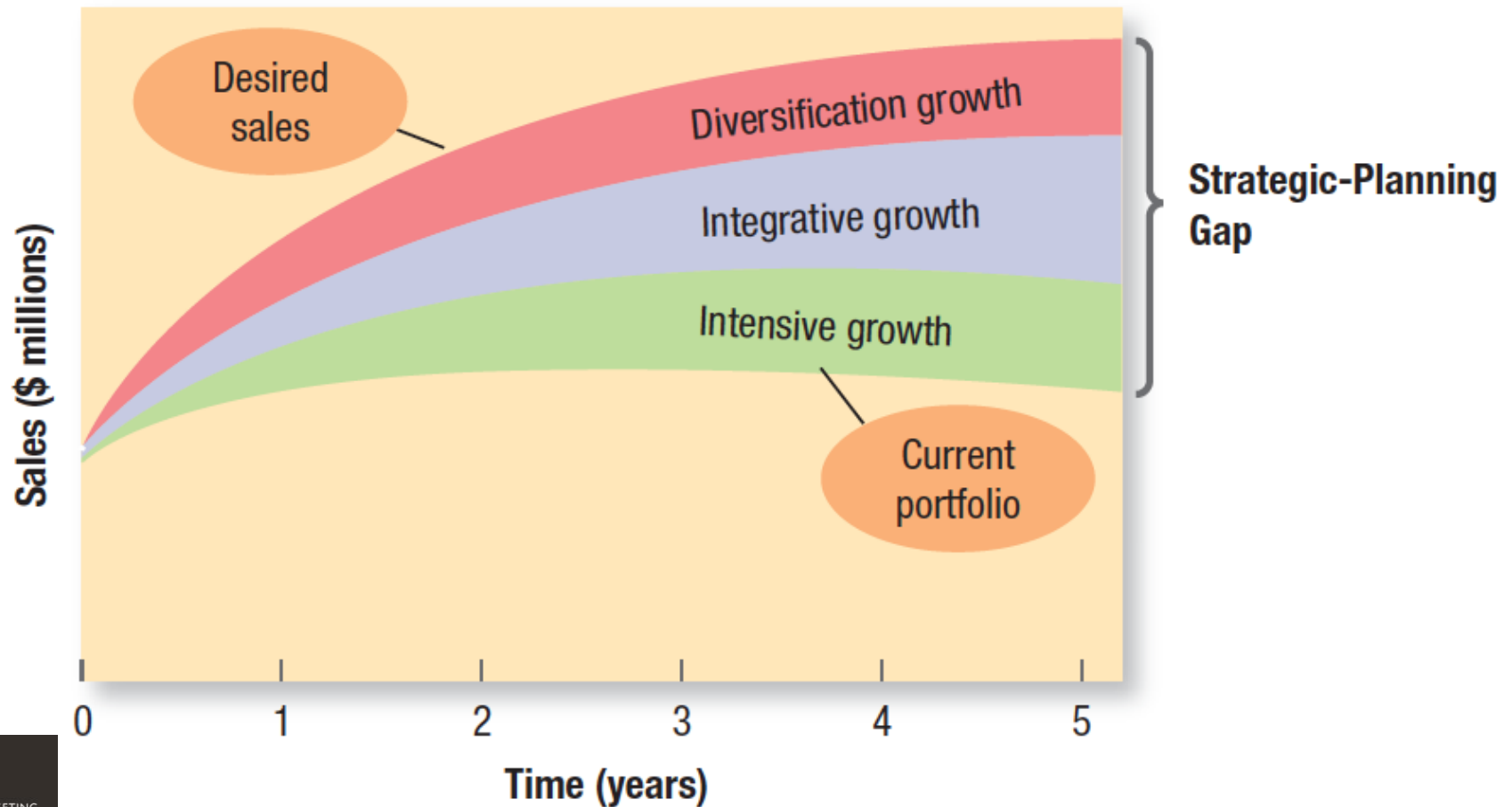
Management must decide how to allocate corporate resources to each SBU

Portfolio-planning models (BCG Matrix or GE/McKinsey Matrix)

Newer method:

Shareholder/market value analysis

# Assessing growth opportunities



- **Market-penetration strategy**
- **Market-development strategy**
- **Product-development strategy**

## **INTENSIVE GROWTH**

Corporate management should first review opportunities for improving existing businesses

- A business can increase sales and profits through backward, forward, or horizontal integration within its industry

## INTEGRATIVE GROWTH



The industry is highly attractive and the company has the right mix of business strengths to succeed

- **Concentric strategy:** new products have synergies with existing ones
- **Horizontal strategy:** new products require new manufacturing processes
- **Conglomerate strategy:** no relationships with its current technology, products or markets

## DIVERSIFICATION GROWTH

Diversification growth makes sense when good opportunities exist outside the present businesses





- **Marketing opportunity:** an area of buyer need and interest that a company has a high probability of profitably satisfying.
- **Environmental threat:** challenge posed by an unfavorable trend or development that, in the absence of defensive marketing action, would lead to lower sales or profit



## External environment



- Can we **articulate the benefits** convincingly to a defined target market(s)?
- Can we **locate the target market(s) and reach them** with cost-effective media and trade channels?
- Does our company possess or have access to the critical capabilities and resources we need to **deliver the customer benefits**?
- Can we deliver the benefits **better than** any actual or potential **competitors**?
- Will the **financial rate of return** meet or exceed our required threshold for investment?

## Market Opportunity Analysis (MOA)

# Opportunity And Threat Matrices: example of a TV-lighting equipment company

(a) Opportunity Matrix

|                |      | Success Probability |     |
|----------------|------|---------------------|-----|
|                |      | High                | Low |
| Attractiveness | High | 1                   | 2   |
|                | Low  | 3                   | 4   |

1. Company develops more powerful lighting system
2. Company develops device to measure energy efficiency of any lighting system
3. Company develops device to measure illumination level
4. Company develops software program to teach lighting fundamentals to TV studio personnel

(b) Threat Matrix

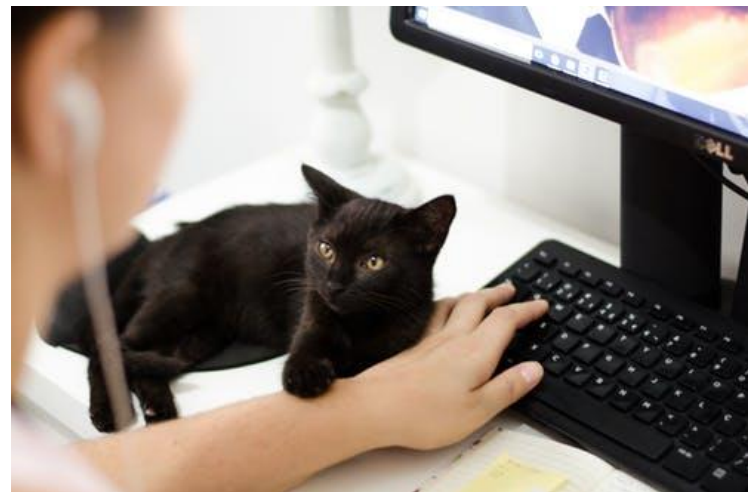
|             |      | Probability of Occurrence |     |
|-------------|------|---------------------------|-----|
|             |      | High                      | Low |
| Seriousness | High | 1                         | 2   |
|             | Low  | 3                         | 4   |

1. Competitor develops superior lighting system
2. Major prolonged economic depression
3. Higher costs
4. Legislation to reduce number of TV studio licenses

- Dell's **STRENGTH** was selling more effectively and efficiently directly to consumers than IBM and Compaq, its hardware competitors at that time.
- Dell's **WEAKNESS** was that its brand was not as strong and it lacked a well-entrenched channel infrastructure and solid dealer relationships.
- Dell's **OPPORTUNITY** was that the consumer market was becoming more sophisticated and customers increasingly knew exactly what they wanted.
- Dell's **THREAT** was that it would fail to generate a big enough customer base in the face of strong competitors and demanding channel partners.



## SWOT Analysis



- Unit's objectives must be **arranged hierarchically**
- Objectives should be **quantitative**
- Goals should be **realistic**
- Objectives must be **consistent**



## Goal formulation

*„To increase sales of  
Purina brand cat food  
by 15% over 2010 sales  
of \$300 million.”*

## OVERALL COST LEADERSHIP

Lowest production & distribution costs  
Lowest price  
Less skill in marketing

## DIFFERENTIATION

Superior performance (service, quality,  
style, technology)

## FOCUS

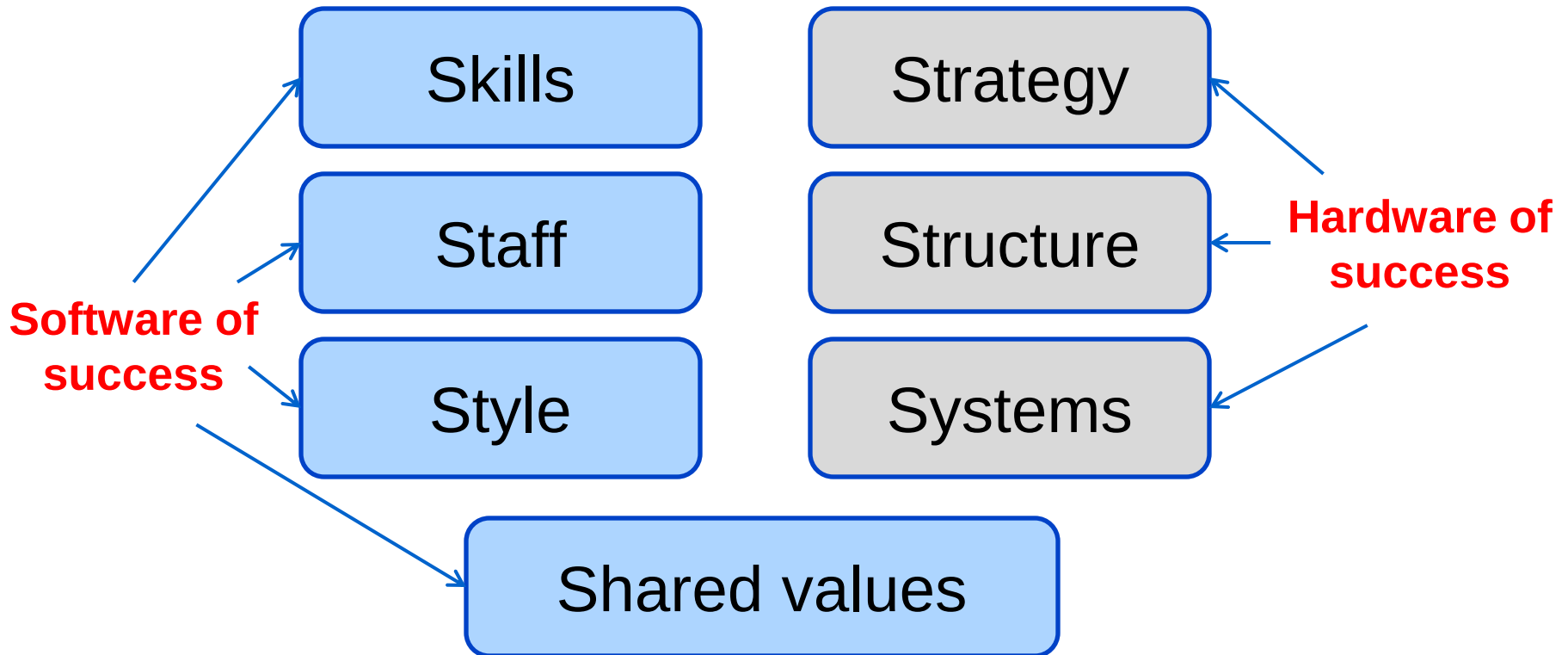
One or more narrow market segments  
Cost leadership or differentiation

# Strategic formulation: Porter's Generic Strategies



# Program Formulation and Implementation

McKinsey's Elements of Success



# Marketing Plan Contents

- ✓ Executive summary
  - ✓ Table of contents
  - ✓ Situation analysis
  - ✓ Marketing strategy
    - ✓ Marketing tactics
  - ✓ Financial projections
- ✓ Implementation controls



- **Customer value and marketing strategy**
- **The strategic planning process**

## **KEY TAKEAWAYS**

- **Growth opportunities**
- **MOA**

**Thank You for Your  
Attention!**

